PRM 60003 - Risk Management Spectrum

Assessment 3.

Group Assessment: Case study – Report & Class Presentation

Now more than ever decisions to proceed with a project or an investment require appropriate due diligence. A significant component of this due diligence or feasibility study is a risk assessment. A risk assessment needs to enable an organisation to be resilient and manoeuvre in the face of uncertainty and complexity in order to achieve its strategic objectives, rather than be a linear, box-ticking exercise. Geo-political risk factors are also having a growing impact on investment considerations and business confidence. Risk adaptation and exploring lessons of success outside one's system, rather than conventional risk frameworks, offer the potential for organisations to thrive despite these challenges.

Using a risk model of your choice conduct a risk assessment of one of the projects listed below. Briefly explain why the model was selected. (Alternatively choose your own project).

Submission Requirements:

Key Factors:

- This is a group assignment.
- It also involves an **in-class presentation** to be arranged
- **Written assignment - refer to due date**
- Marks will be awarded as such - 10% for presentation and 30% for the written assignment.
- Each student is required to submit a copy of their group's written assignment
- Treat this as a professional presentation that you would be delivering to a company board or a client.

Assessment Requirements:

- Demonstrated understanding of relevant course content, readings and evidence of your further research
- Demonstrated analytical, evidence based and critical thinking
- Demonstrated skills in academic research, writing and presentation
- Demonstrated working knowledge and application of concepts and material

Below are the scenarios for your team to select.

Group Assignment Options

Option 1 – Launching a new bank in Australia

In two years Bank X is new planning to launch in Australia. Bank X's structure is comprised of corporate and executive management, strategic business units and frontline operations. It will offer a suite of personal and corporate banking services including internet banking and a variety of apps to access accounts on hand-held devices or via smart-TVs and transfer funds or conduct trading, home mortgages, business loans, mobile lending advisors and new branches across the country. They also want to challenge these quick loan companies that have sprung up and offer loans based on a reduced level of background information.

Challenge

Before Bank X opens its launch team requires your advice to design a risk management plan that includes risk treatment options.

The first requirement is to conduct a risk management assessment. You will need to describe what risk management model you intend to use and why, how this will be integrated across the organisation as well as the sources and types of risk and how global trends may impact on these risks. What does Bank X need to do in order to stay ahead of the changing risks the bank may face as a result of these trends and the services it will offer. Consider the context in which this launch is being considered.

The Bank X launch team has asked that you present your assessment in a structured manner.

Option 2 – Melbourne to Sydney high speed rail system

The Australian Federal Government has put out a request for proposal (RFP) to build a Melbourne to Sydney high speed rail system with construction to begin in 2020. It its envisaged the high speed system will be modelled on the French TVG network with the trains capable of travelling at 320km/h. The rail line will traverse along the east coast to take advantage of the spectacular sea views and through farmland, bushland that includes native forest. There are four major river crossing areas.

Challenge

You have been tasked to design the risk management plan that includes risk treatment options and needs to cover the construction operations phases of the project.

First a risk management assessment must be conducted. You will need to describe what risk management model you intend to use and why, how this will be integrated across the company that will manage and operate the Melbourne-Sydney high speed rail system.

What sources and types of risk can you identify, how will the current and future political, social, economic, environmental, security and technological issues will need to be considered? The Federal Government has asked that you present your assessment and plan in a structured manner. What adaptations can be considered?

Option 3 – Shell's plan for new off-shore oil rig in Celebes Seas

Shell is planning to build a new off-shore deep sea oil rig in the Celebes Sea 500kms south of Sulu Island, Southern Philippines. The Celebes Sea also includes Malaysia and Indonesia.

This area an environmentally significant location given its fisheries. It is also notorious for kidnappings and hijackings (including on the sea) by the terrorist organisation the Abu Sayyaf Group (ASG), who have pledged allegiance to the so called Islamic State in Iraq and Syria (ISIS). There have been several recent incidents of foreigners being kidnapped and killed by ASG, when ransom demands are not met.

On 23 May 2013, the Government of the Republic of the Philippines and the Government of the Republic of Indonesia signed an agreement to establish the boundary line that delimits the overlapping Exclusive Economic Zone (EEZ) between the two countries. If the project proceeds, construction will begin in 2020 and operations scheduled for 2025. Shell's Board is nervous about this proposed investment given the recent history of the sector and the risks from terrorism threats. Many on the Board have been influenced by the BP disaster in the Gulf of Mexico.

Challenge

Shell requires you to conduct a risk assessment and recommend whether or not Shell should proceed with the project. The risk assessment must cover the construction phases of the project. What sources and types of risk can you identify, how will the current and future political, social, economic, environmental, security and technological issues will need to be considered?

Following your risk assessment you must recommend if Shell should proceed and justify your recommendation.

Shell has asked that you present your assessment in a structured.

Option 4 – BP gas plant Libya

In six months BP is about to begin operations of a new gas treatment facility in south-east Libya, 2kms from the Algerian border. The project is anticipated to bring in billions of dollars of revenue to the Libyan government and employ local people from the remote surrounding communities.

It is estimated that the life of the gas plant is 15 – 20 years. BP had planned to dismiss most of the employees involved in the construction phase as a new operations teams will take over. This means about 500 locals will be out of work. The facility will house 100 expats who will live and work on site as well as 300 locals from the area. There is an airstrip on site but it was not built with a long enough turn around bay so could be out of use by the time the operations begin. There are only two roads from the site to the nearest town 50kms to the north that also has a small airport and provides the main logistics route for supplies and the transport of locals.

Challenge

BP requires you to conduct a risk assessment and develop a risk management plan for the operations phase of the project. The risk management plan must include appropriate risk treatment options.

You will need to describe what risk management model you intend to use and why, how this will be integrated across the company that will manage and operate the gas treatment plant. What sources and types of risk can you identify, how will the current and future political, social, economic, environmental, security and technological issues will need to be considered?

BP has asked that you present your assessment and plan in a structured manner. Consider the context of the current terrorism phenomenon and instability across this part of the world. How could this project proceed despite these challenges through adaptation?